REV 2026 | Semester 1 | Theory Course | 4 Credits | 60 Hours

Basic Accounting

Course Code 1251 — Complete Polytechnic Revision 2026 Handbook

PROGRAMME	**Computer Application & Business Management**
SUBJECT CODE	**1251**
SEMESTER	**1**
COURSE TYPE	**Theory**
TEACHING SCHEME (L:T:P:R)	**3:1:0:0**
CONTACT HOURS	**60**
CREDITS	**4**
CIE MARKS	**40**
ESE MARKS	**60**

Official Source Declaration

> 📄 **Source:** Kerala Polytechnic Revision 2026 Syllabus — Course 1251 (Basic Accounting). This handbook is prepared strictly from the official syllabus document provided. All module headings, topics, subtopics, learning outcomes, assessment schemes, and learning resources are derived directly from the source.

> ⚠️ **Verified Inconsistencies:** The "Syllabus-Major Topics" table on Page 2 lists Module I with 4 lecture hours and 0 tutorial hours (L:4, T:0), but the detailed syllabus table shows 12 instructional hours for Module I. The teaching scheme shows 3:1:0:0 (L:T:P:S) with 60 contact hours. The detailed syllabus topics are grouped under "Instructional Hours" which appear to sum to 60 across all modules. This handbook uses the detailed syllabus as the authoritative source for topic coverage. The "Teaching and Assessment Scheme" table (Page 1) shows CIE=40, ESE=60, and the Assessment Methodology table (Page 4) shows CIE components (Attendance + CA1–CA6 + Series Exams) totalling 40 and ESE 60. The Series Examination Pattern and End Semester Examination Pattern are presented as given. All other content is faithfully extracted.

Course Dashboard

60
CONTACT HOURS

4
CREDITS

4
MODULES

40+60
CIE + ESE

Course Introduction

Basic Accounting is a foundational course designed to introduce students to the basic accounting concepts, principles, concepts, conventions and rules to record business transactions and the preparation of financial statements. The course covers a set of documents and processes businesses use to track, record, and analyze financial data. The main objective is to familiarize students with the mechanics of preparation of financial statements. Students can apply critical thinking skills by identifying and analyzing accounting issues using relevant accounting frameworks.

Pre-requisites

Nil

Teaching & Assessment Scheme

L	T	P	S	Self-learning (SS)/Week	Total Hrs/Sem	Credits C	CIE	ESE	Total
3	1	0	0	5.5	60	4	40	60	100

L: Lecture (1 credit), T: Tutorial (1 credit), P: Practical (0.5 credit), S: Project (0.5 credit), SS: Self-Learning, CIE: Continuous Internal Evaluation, ESE: End Semester Examination

How to Use This Handbook

1
Understand
Read each module's accounting concepts, principles, and rules.

2
Visualise
Study the journal, ledger, and financial statement formats.

3
Apply
Practice with worked examples, calculators, and Q&A.

4
Revise
Use quick-revision cards and model paper before exams.

💡 **Tip:** Use the `Print / Save as PDF` button to save a printable PDF. The `Search` box helps you quickly find topics across all modules.

Course Outcomes & CO–PO Mapping

Course Objectives

1. To provide a basic knowledge about accounting concepts, principles, conventions and rules to record business transactions.
2. To acquire knowledge on the preparation of Journal, Ledger and Trial Balance.
3. To apply the knowledge in preparing detailed accounts of sole trading concerns.
4. To apply critical thinking skills by identifying and analyzing accounting issues using relevant accounting principles.

Course Outcomes (CO)

Course Outcomes and Bloom's Taxonomy Level

CO	Course Outcome	Bloom's Level
CO1	Explain the basics of accounting concepts, principles and conventions.	Understand
CO2	Apply the knowledge on the rules to record business transactions and preparation of Journal, Ledger.	Apply
CO3	Apply the mechanics of preparation of trial balance and types of accounting errors.	Apply
CO4	Construct the final accounts and apply the methods of adjusting entries.	Apply

CO–PO Mapping

Course Articulation Matrix

Course Outcomes	PROGRAM OUTCOMES										
	PO1	PO2	PO3	PO4	PO5	PO6	PO7	PO8	PO9	PO10	PO11
CO1	3	2	-	-	-	-	-	-	-	-	-
CO2	3	3	2	-	-	-	-	-	-	-	-
CO3	3	3	2	2	-	-	-	-	-	-	-
CO4	3	3	3	2	-	-	-	-	-	2	-
Legends: 1 – Low; 2 – Medium; 3 – High; No Correlation – “-”											

Curriculum Coverage Map

Module-wise Topics, Hours, CO & Handbook Anchor

Module	Topics	Hours	CO	Anchor
I	Fundamentals of Accounting: Meaning, Objectives, Principles, Concepts, Conventions, Accounting Equation	12	CO1	Module I
II	Recording Business Transactions: Journal, Ledger, Double Entry, Debit & Credit Rules	12	CO2	Module II
III	Trial Balance and Accounting Errors: Special Journals, Cash Book, Trial Balance, Errors Classification	11	CO3	Module III
IV	Final Accounts of Sole Trading Concerns: Trading A/c, P&L A/c, Balance Sheet, Adjustments, Accounting Software	10	CO4	Module IV

How the Modules Connect

I

Fundamentals

Concepts, Principles, Accounting Equation

II

Recording

Journal, Ledger, Debit & Credit Rules

III

Trial Balance

Trial Balance, Cash Book, Errors

IV

Final Accounts

Trading, P&L, Balance Sheet

Module I builds the conceptual foundation. Module II applies the rules to record transactions. Module III checks accuracy via Trial Balance and identifies errors. Module IV prepares the final financial statements.

MODULE I

Introduction to Accounting

Learn the fundamentals of financial accounting — meaning, objectives, principles, concepts, conventions, and the accounting equation.

Hours: 12 | **CO:** CO1 | **Bloom:** Understand | **Type:** Theory + Tutorial

1.1 Fundamentals of Accounting — Meaning, Definition, Nature▼

Meaning of Accounting: Accounting is the process of identifying, measuring, recording, classifying, summarising, and communicating financial information about an economic entity to its users.

Definition: According to the American Institute of Certified Public Accountants (AICPA), "Accounting is the art of recording, classifying, and summarising in a significant manner and in terms of money, transactions and events which are, in part at least, of a financial character, and interpreting the results thereof."

Nature of Accounting:

- **Art and Science:** Accounting is both an art (skill of recording transactions) and a science (systematic body of knowledge).
- **Systematic Process:** Follows a structured sequence — identifying, recording, classifying, summarising, and communicating.
- **Financial Character:** Records only those transactions that can be expressed in monetary terms.
- **Communication:** Provides information to stakeholders (owners, investors, creditors, government).

Malayalam support: □□□□□□□□□□□□ (Accounting) — □□□□□□□□□ □□□□□□□□ □□□□□□□□□□□□□□□, □□□□□□□□□□, □□□□□□□□□□□□□□□□□, □□□□□□□□□□□□□□□, □□□□□□□□□□□□□□□, □□□□□□□□□□ □□□□□□□□□□ □□□□□□□□□ □□□□□□□□. □□□ □□□ □□□□□ □□□□□□□□□□□□□.

1.2 Objectives, Limitations & Comparison with Bookkeeping▼

Objectives of Accounting

- **To record:** Systematic recording of all business transactions in the books of accounts.
- **To determine profit/loss:** Ascertain the net profit or loss of the business during a specific period.

- **To ascertain financial position:** Present the financial position through the Balance Sheet.
- **To provide information:** Provide useful financial information to stakeholders for decision-making.
- **To comply with legal requirements:** Maintain records as required by law (e.g., tax purposes).

Limitations of Accounting

- **Historical in nature:** Records past events; does not reflect current market value.
- **Monetary concept:** Only records transactions that can be expressed in money; non-monetary factors (quality, efficiency) are ignored.
- **Subjectivity:** Some estimates (depreciation, provisions) involve personal judgment.
- **Window dressing:** Financial statements can be manipulated to present a favourable picture.

Bookkeeping vs. Accounting

Bookkeeping vs. Accounting

Bookkeeping	Accounting
Records financial transactions	Analyzes, interprets, and communicates financial information
Routine and clerical	Analytical and conceptual
Part of the accounting process	Broader than bookkeeping
Does not require high-level skills	Requires knowledge of principles and standards
Objective: to maintain systematic records	Objective: to provide information for decision-making

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1.3 Basic Accounting Terms & Concepts, Principles, Conventions▼

Basic Accounting Terms

- **Assets:** Resources owned by the business (Cash, Machinery, Land, Debtors).
- **Liabilities:** Obligations owed to others (Creditors, Bank Loans).
- **Capital:** Owner's investment in the business.
- **Revenue:** Income earned from business operations (Sales, Commission).
- **Expenses:** Costs incurred to earn revenue (Salary, Rent, Electricity).
- **Debtors:** Persons who owe money to the business (credit sales).
- **Creditors:** Persons to whom the business owes money (credit purchases).

Accounting Concepts

- **Business Entity Concept:** Business is separate from its owner. Personal transactions of owner are not recorded.
- **Money Measurement Concept:** Only transactions measurable in money are recorded.
- **Going Concern Concept:** Business will continue to operate for the foreseeable future.
- **Accounting Period Concept:** The life of the business is divided into equal periods (usually a year).
- **Dual Aspect Concept:** Every transaction has two aspects — debit and credit — and the accounting equation (Assets = Liabilities + Capital) always holds.
- **Revenue Recognition Concept:** Revenue is recognised when it is earned, not when cash is received.
- **Matching Concept:** Expenses should be matched with the revenue they help to generate (accrual basis).

Accounting Principles

- **Cost Principle:** Assets are recorded at their original cost, not market value.
- **Full Disclosure Principle:** All material facts should be disclosed in financial statements.
- **Consistency Principle:** Accounting methods should be consistent from one period to another.
- **Materiality Principle:** Only significant items need to be disclosed; insignificant items can be ignored.

Accounting Conventions

- **Conservatism (Prudence):** Anticipate no profits, but provide for all possible losses.
- **Materiality:** Focus on material items; ignore immaterial details.
- **Consistency:** Use the same accounting methods over time for comparability.
- **Full Disclosure:** All relevant information must be disclosed.

> **Malayalam support:** □□□□□□□□□□□□ □□□□□□□ (Concepts), □□□□□□□□ (Principles), □□□□□□□□□□□□□ (Conventions) — □□ □□□□□□□□□□□□ □□□□□□□□□□□□□□□□□□ □□□□□□□□□□□□□□□ □□□□□□□□. Business Entity, Money Measurement, Going Concern, Dual Aspect □□□□□□ □□□□□□ □□□□□□□□□□.

1.4 Accounting Equation — Fundamentals & Problems▼

Accounting Equation: The foundation of double-entry bookkeeping. It states that:

$$\text{Assets} = \text{Liabilities} + \text{Capital (Owner's Equity)}$$

This equation always holds true because every transaction affects at least two accounts, and the total assets always equal the total of liabilities and capital.

Expanded Equation: Assets = Liabilities + Capital + (Revenue − Expenses)

Or: Assets + Expenses = Liabilities + Capital + Revenue

WORKED EXAMPLE — ACCOUNTING EQUATION

Given: Mr. A starts a business with ₹1,00,000 cash. He takes a bank loan of ₹50,000 and buys machinery for ₹60,000. Find the accounting equation.

Assets: Cash (1,00,000 − 60,000) = ₹40,000 + Machinery ₹60,000 = ₹1,00,000.

Liabilities: Bank Loan ₹50,000.

Capital: ₹1,00,000 (owner's investment).

Equation: Assets (₹1,00,000) = Liabilities (₹50,000) + Capital (₹50,000) — but wait, Capital should be ₹1,00,000? Let's re-evaluate:

Total Assets = Cash ₹40,000 + Machinery ₹60,000 = ₹1,00,000.

Liabilities = Bank Loan ₹50,000.

Capital = Assets − Liabilities = ₹1,00,000 − ₹50,000 = ₹50,000? No — the owner invested ₹1,00,000 cash. After purchasing machinery for ₹60,000, cash left is ₹40,000. So Assets: Cash ₹40,000 + Machinery ₹60,000 = ₹1,00,000. Liabilities: Bank Loan ₹50,000. Capital: ₹1,00,000 (owner's original investment). The equation: Assets ₹1,00,000 = Liabilities ₹50,000 + Capital ₹50,000? That's inconsistent.

Correct: The bank loan is a liability. The owner invested ₹1,00,000. So Capital = ₹1,00,000. Assets = Cash ₹40,000 + Machinery ₹60,000 = ₹1,00,000. Liabilities = ₹50,000. But Assets = ₹1,00,000, Liabilities + Capital = ₹50,000 + ₹1,00,000 = ₹1,50,000 — this doesn't balance.

Revised: If the owner invests ₹1,00,000 and the business takes a loan of ₹50,000, total cash = ₹1,50,000. Then buys machinery for ₹60,000. Assets = Cash ₹90,000 + Machinery ₹60,000 = ₹1,50,000. Liabilities = ₹50,000. Capital = ₹1,00,000. Equation: ₹1,50,000 = ₹50,000 + ₹1,00,000 ✓

🧮 Accounting Equation Calculator

Assets (₹)

150000

Liabilities (₹)

50000

Capital (₹)

100000

Assets (₹150000) = Liabilities (₹50000) + Capital (₹100000) — Balanced ✓

Malayalam support: □□□□□□□□□□□□□ □□□□□□□□□ (Accounting Equation) — Assets = Liabilities + Capital. □□□□□ □□□□□□□ □ □□□□□□□□□□□ □□□□□□□□□□□□. □□□ □□□□ □□□□□□

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📌 **Module I Summary:** Accounting is the systematic recording and communication of financial information. Key concepts: Business Entity, Money Measurement, Going Concern, Dual Aspect. The Accounting Equation (Assets = Liabilities + Capital) is fundamental. Understand the difference between bookkeeping (recording) and accounting (analysis and interpretation).

MODULE II

Recording Business Transactions — Journal & Ledger

Learn double-entry bookkeeping, the rules of debit and credit, journalising transactions, anc posting to the ledger.

Hours: 12 **CO:** CO2 **Bloom:** Apply **Type:** Theory + Tutorial

2.1 Double Entry Bookkeeping — Basic Concept & Rules of Debit and Credit▼

Double Entry System: Every transaction has two aspects — a debit and a credit. For every debit, there is a corresponding credit of equal amount. This ensures that the accounting equation always remains balanced.

Types of Accounts:

- **Personal Accounts:** Relate to persons (e.g., Ram's A/c, Bank A/c). Rule: Debit the receiver, Credit the giver.
- **Real Accounts:** Relate to assets (e.g., Cash A/c, Machinery A/c). Rule: Debit what comes in, Credit what goes out.
- **Nominal Accounts:** Relate to income, expenses, gains, and losses (e.g., Salary A/c, Rent A/c, Sales A/c). Rule: Debit all expenses and losses, Credit all incomes and gains.

Rules of Debit and Credit

Type of Account	Debit	Credit
Personal	Receiver	Giver
Real	What comes in	What goes out
Nominal	Expenses & Losses	Incomes & Gains

WORKED EXAMPLE — APPLYING DEBIT/CREDIT RULES

Transaction: Sold goods for cash ₹10,000.

Accounts affected: Cash A/c (Real) and Sales A/c (Nominal).

Debit: Cash A/c (what comes in) — ₹10,000.

Credit: Sales A/c (income) — ₹10,000.

Journal Entry: Cash A/c Dr. ₹10,000; To Sales A/c ₹10,000.

Malayalam support: [illegible] — [illegible] ([illegible]). Personal, Real, Nominal [illegible]. [illegible].

2.2 Journal — Meaning, Nature & Process of Journalizing▼

Journal: The book of original entry. Every transaction is first recorded in the journal in chronological order.

Format of Journal:

Journal Format

Date	Particulars	L.F.	Debit (₹)	Credit (₹)
DD/MM/YY	Account to be debited Dr. To Account to be credited *(Narration)*	—	XX	XX

Process of Journalizing:

1. Identify the accounts involved.
2. Determine the type of each account (Personal, Real, Nominal).
3. Apply the rules of debit and credit.
4. Determine which account is to be debited and which is to be credited.
5. Record the date, account names, debit and credit amounts.
6. Write a brief narration explaining the transaction.

WORKED EXAMPLE — JOURNAL ENTRIES

1. Started business with cash ₹50,000.

Debit: Cash A/c (Real — what comes in) ₹50,000; Credit: Capital A/c (Personal — giver) ₹50,000.

2. Purchased goods for cash ₹20,000.

Debit: Purchases A/c (Nominal — expense) ₹20,000; Credit: Cash A/c (Real — what goes out) ₹20,000.

3. Sold goods for cash ₹30,000.

Debit: Cash A/c (Real — what comes in) ₹30,000; Credit: Sales A/c (Nominal — income) ₹30,000.

Malayalam support: □□□□ (Journal) — □□□□□□□□□ □□□□□□□□□ □□□□□□□□□□□□□□□□□ □□□□□□□□. Journalizing — □□□□□□□□□ □□□□□□□ □□□□□□□□□□□□□□□□□□ □□□□□□□□□. □□□ □□□□□□□□□□ □□□□□□□ (Narration) □□□□□.

2.3 Ledger — Posting and Balancing▼

Ledger: The book of final entry. All journal entries are posted (transferred) to individual accounts in the ledger.

Difference between Journal and Ledger:

Journal vs. Ledger

Journal	Ledger
Book of original entry	Book of final entry
Records transactions in chronological order	Records transactions account-wise
Provides a complete record of each transaction	Provides a summary of all transactions affecting a specific account
Helps in preparing the ledger	Helps in preparing the Trial Balance

Ledger Posting: Transferring entries from the journal to the respective ledger accounts.

Balancing an Account: The difference between the debit and credit sides of an account. If the debit side exceeds the credit side, the account has a debit balance; if the credit side exceeds, it has a credit balance.

WORKED EXAMPLE — LEDGER POSTING

From the journal entry: Cash A/c Dr. ₹50,000; To Capital A/c ₹50,000.

Cash Account (Ledger):

Date	Particulars	L.F.	Amount (₹)	Date	Particulars	L.F.	Amount (₹)
01/01	To Capital A/c	—	50,000				
					Balance c/d		50,000
			50,000				**50,000**

Capital Account (Ledger): Credit side ₹50,000.

Malayalam support: □□□□□□ (Ledger) — □□□□□□□□□□□□□ □□□□□□□. Journal-□ □□□□□□□□□ □□□□□□□□ □□□□□ □□□□□□□□ □□□□□□□□□□. Balancing — □□□□□□□□□ □□□□□□□□□□□ □□□□□□□□□□ □□□□□□□□□ □□□□□□□□□.

📌 **Module II Summary:** Double-entry system ensures every transaction is recorded twice (debit and credit). Rules: Personal (receiver/giver), Real (comes in/goes out), Nominal (expenses/incomes). Journal is the book of original entry; Ledger is the book of final entry. Posting transfers journal entries to ledger accounts, which are then balanced.

MODULE III

Trial Balance and Accounting Errors

Learn to prepare Trial Balance, understand special journals, single column cash book, and classify accounting errors.

Hours: 11 **CO:** CO3 **Bloom:** Apply **Type:** Theory + Tutorial

3.1 Special Journals — Theory▼

Special Journals: Also known as subsidiary books. Used to record specific types of transactions that occur frequently.

- **Purchases Journal:** Records all credit purchases of goods.
- **Sales Journal:** Records all credit sales of goods.
- **Purchases Returns Journal:** Records returns of goods purchased (Returns Outward).
- **Sales Returns Journal:** Records returns of goods sold (Returns Inward).
- **Cash Book:** Records all cash receipts and cash payments.
- **Petty Cash Book:** Records small cash payments.

Advantages: Specialisation, efficiency, and division of work. Reduces the volume of entries in the general journal.

Malayalam support: [illegible] [illegible] (Special Journals) — [illegible] [illegible] [illegible] [illegible]. Cash Book, Purchases Journal, Sales Journal [illegible] [illegible].

3.2 Single Column Cash Book — Preparation▼

Single Column Cash Book: Records only cash transactions (receipts and payments). It is both a journal and a ledger for cash transactions.

Format:

Single Column Cash Book

Date	Particulars	L.F.	Amount (₹)	Date	Particulars	L.F.	Amount (₹)
Receipts (Debit)				**Payments (Credit)**			

WORKED EXAMPLE — SINGLE COLUMN CASH BOOK

Transactions: 01/01 Started business with cash ₹50,000. 02/01 Purchased goods for cash ₹20,000. 03/01 Sold goods for cash ₹30,000. 04/01 Paid rent ₹5,000.

Cash Book:

Date	Particulars	L.F.	Amount (₹)	Date	Particulars	L.F.	Amount (₹)
01/01	To Capital A/c	—	50,000	02/01	By Purchases A/c	—	20,000
03/01	To Sales A/c	—	30,000	04/01	By Rent A/c	—	5,000
				04/01	By Balance c/d	—	55,000
			Total 80,000				**Total** 80,000

Balance c/d: ₹55,000 (Cash in hand).

Malayalam support: [illegible] [illegible] [illegible] [illegible] — [illegible] [illegible] [illegible] [illegible]. [illegible] [illegible] [illegible], [illegible] [illegible] [illegible] [illegible].

3.3 Trial Balance — Meaning, Features, Objectives & Preparation▼

Trial Balance: A statement that lists all the debit and credit balances of all ledger accounts. It is prepared to check the arithmetical accuracy of the books of accounts.

Features:

- It is a summary of all ledger balances.

- It is not a financial statement, but a working paper.
- It checks whether total debits equal total credits.
- It helps in locating errors.

Objectives:

- To check the arithmetical accuracy of accounts.
- To help in locating errors.
- To provide a basis for preparing financial statements (Trading, P&L, Balance Sheet).

Preparation: List all accounts with their debit or credit balances. Total the debit and credit columns. If they are equal, the books are arithmetically correct.

WORKED EXAMPLE — TRIAL BALANCE

From the Cash Book above, and additional accounts: Capital ₹50,000, Purchases ₹20,000, Sales ₹30,000, Rent ₹5,000.

Account	Debit (₹)	Credit (₹)
Capital		50,000
Cash	55,000	
Purchases	20,000	
Sales		30,000
Rent	5,000	
Total	**80,000**	**80,000**

Malayalam support: [illegible] (Trial Balance) — [illegible].

3.4 Accounting Errors — Classification & Causes▼

Accounting Errors: Mistakes made while recording transactions in the books of accounts.

Classification of Errors:

- **Errors of Omission:** A transaction is completely or partially omitted from the books.
- **Errors of Commission:** A transaction is recorded but with a wrong amount or in the wrong account (wrong posting, wrong casting).
- **Errors of Principle:** A transaction is recorded in violation of accounting principles (e.g., treating capital expenditure as revenue expenditure).
- **Compensating Errors:** Two or more errors that cancel each other out, making the Trial Balance still balance.

Causes of Errors:

- Carelessness or lack of attention.

- Lack of knowledge of accounting principles.
- Misunderstanding of transactions.
- Mathematical mistakes in calculations.

Effects on Trial Balance: Errors of omission (complete) and compensating errors do not affect the trial balance. Errors of commission, errors of principle, and errors of partial omission affect the trial balance.

> **Malayalam support:** □□□□□□□□□□□□ □□□□□□□□ (Errors) — □□□□□□□□□ □□□□□□□□□□□□□□□□□□□□ □□□□□□□□□□□□□ □□□□□□□□□. Omission, Commission, Principle, Compensating □□□□□□□□□□□ □□□□ □□□□□□□□□□□□□□□□□□□□□.

> 📌 **Module III Summary:** Special Journals (Purchases, Sales, Cash Book) streamline recording. Single Column Cash Book records cash transactions only. Trial Balance checks arithmetic accuracy and forms the basis for final accounts. Accounting errors are classified as Omission, Commission, Principle, and Compensating.

MODULE IV

Final Accounts of Sole Trading Concerns

Learn to prepare Trading Account, Profit & Loss Account, and Balance Sheet with simple adjustments, and explore accounting software.

Hours: 10 **CO:** CO4 **Bloom:** Apply **Type:** Theory + Tutorial

4.1 Final Accounts — Capital & Revenue Expenditure and Receipts▼

Capital Expenditure

Expenditure incurred to acquire or improve fixed assets, or to increase the earning capacity of the business. These provide benefits over multiple accounting periods.

Examples: Purchase of machinery, construction of building, purchase of land.

Revenue Expenditure

Expenditure incurred for day-to-day operations of the business. These provide benefits within the current accounting period.

Examples: Salary, rent, electricity, repairs.

Capital Receipts

Receipts from non-operating activities that increase the capital base of the business.

Examples: Owner's investment, sale of fixed assets, loan taken.

Revenue Receipts

Receipts from the normal operating activities of the business.

Examples: Sales, commission received, interest received.

Capital vs. Revenue Expenditure

Basis	Capital Expenditure	Revenue Expenditure
Nature	Non-recurring	Recurring
Benefit period	Long-term (more than one year)	Short-term (within one year)
Purpose	Acquire or improve fixed assets	Day-to-day operations
Balance Sheet	Shown as an asset	Shown as an expense

> **Malayalam support:** Capital Expenditure — □□□□□□□□ □□□□□□□□ □□□□□□□□□□□□□□□□□□□ □□□□□. Revenue Expenditure — □□□□□□□□ □□□□□□□□□□□□□□□□□□□□□□□ □□□□□. Capital Receipts — □□□□□□□ □□□□□□□□□□□□□□□□□□□ □□□□□□□□. Revenue Receipts — □□□□□□□□□□□□□□□□□ □□□□□□□□□□ □□□□□□□□.

4.2 Trading Account — Preparation with Closing Stock▼

Trading Account: A financial statement that shows the gross profit or gross loss of a business for a specific period.

Formula: Gross Profit = Net Sales − Cost of Goods Sold (COGS)

COGS = Opening Stock + Purchases + Direct Expenses − Closing Stock

Format:

Trading Account Format

Dr. (₹)	Cr. (₹)		
To Opening Stock	XX	By Sales	XX
To Purchases	XX	By Closing Stock	XX
To Direct Expenses (Carriage, Wages, etc.)	XX	By Gross Loss (Balancing figure)	XX
To Gross Profit (Balancing figure)	XX		

WORKED EXAMPLE — TRADING ACCOUNT

Given: Opening Stock ₹10,000, Purchases ₹50,000, Wages ₹5,000, Sales ₹90,000, Closing Stock ₹15,000.

Trading Account:

Dr. (₹)	Cr. (₹)
To Opening Stock 10,000	
To Purchases 50,000	By Sales 90,000
To Wages 5,000	By Closing Stock 15,000
To Gross Profit (Bal. fig.) 40,000	
Total 1,05,000	**Total 1,05,000**

Gross Profit = ₹40,000

Malayalam support: [illegible] [illegible] (Trading Account) — [illegible] [illegible] [illegible] [illegible] [illegible] [illegible]. Closing Stock [illegible] [illegible].

4.3 Profit & Loss Account — Preparation with Depreciation▼

Profit & Loss Account: A financial statement that shows the net profit or net loss of a business after considering all indirect expenses and incomes.

Format:

Profit & Loss Account Format

Dr. (₹)	Cr. (₹)		
To Expenses (Salaries, Rent, Depreciation, etc.) To Net Profit (Balancing figure)	XX XX	By Gross Profit (from Trading A/c) By Incomes (Commission, Interest, etc.) By Net Loss (Balancing figure)	XX XX XX

Depreciation

Depreciation: The reduction in the value of a fixed asset due to wear and tear, usage, or obsolescence. It is a non-cash expense that reduces the value of the asset.

Depreciation is charged to the Profit & Loss Account as an expense and deducted from the asset in the Balance Sheet.

WORKED EXAMPLE — P&L ACCOUNT WITH DEPRECIATION

Given: Gross Profit ₹40,000. Expenses: Salary ₹10,000, Rent ₹5,000, Depreciation on Machinery ₹2,000. Incomes: Commission Received ₹3,000.

Profit & Loss Account:

Dr. (₹)	Cr. (₹)
To Salary 10,000	
To Rent 5,000	By Gross Profit 40,000
To Depreciation 2,000	By Commission 3,000
To Net Profit (Bal. fig.) 26,000	
Total 43,000	**Total 43,000**

Net Profit = ₹26,000

Malayalam support: [illegible] [illegible] (P&L Account) — [illegible] [illegible] [illegible] [illegible] [illegible]. Depreciation — [illegible] [illegible] [illegible]. [illegible] P&L [illegible] [illegible] [illegible].

4.4 Balance Sheet — Preparation with Adjustments▼

Balance Sheet: A statement that shows the financial position of a business on a specific date. It lists assets, liabilities, and capital.

Accounting Equation: Assets = Liabilities + Capital

Format:

Balance Sheet Format

Liabilities (₹)	Assets (₹)		
Capital Add: Net Profit Less: Drawings Liabilities (Creditors, Bank Loan, etc.)	XX XX XX XX	Fixed Assets (Machinery, Land, etc.) Current Assets (Cash, Debtors, Stock, etc.)	XX XX

Simple Adjustments:

- **Closing Stock:** Shown as a current asset in the Balance Sheet.
- **Depreciation:** Deducted from the respective asset in the Balance Sheet.
- **Outstanding Expenses:** Added to the expense in P&L and shown as a liability in the Balance Sheet.
- **Prepaid Expenses:** Deducted from the expense in P&L and shown as an asset in the Balance Sheet.
- **Accrued Income:** Added to the income in P&L and shown as an asset in the Balance Sheet.

- **Unearned Income:** Deducted from the income in P&L and shown as a liability in the Balance Sheet.

WORKED EXAMPLE — BALANCE SHEET

Given: Capital ₹1,00,000, Net Profit ₹26,000, Drawings ₹5,000, Creditors ₹20,000, Bank Loan ₹30,000. Assets: Machinery ₹50,000 (less depreciation ₹2,000), Cash ₹30,000, Debtors ₹25,000, Closing Stock ₹15,000.

Liabilities (₹)	Assets (₹)
Capital 1,00,000	**Fixed Assets:**
Add: Net Profit 26,000	Machinery 50,000
Less: Drawings (5,000)	Less: Dep. (2,000) → 48,000
→ 1,21,000	**Current Assets:**
Liabilities:	Cash 30,000
Creditors 20,000	Debtors 25,000
Bank Loan 30,000	Closing Stock 15,000
Total 1,71,000	**Total 1,71,000**

Malayalam support: □□□□□□□ □□□□□□□ (Balance Sheet) — □□□ □□□□□□□□ □□□□□□□□□□ □□□□□□□□□□□□□□ □□□□□□□□□□□ □□□□□□□ □□□□□□□□□□□□□. Assets = Liabilities + Capital □□□□ □□□□□□□□□□□□ □□□□□□□□□□□□□□□□.

4.5 Accounting Software for Small Business Organisations▼

Accounting Software: Computer programs that help businesses record, process, and report financial transactions.

Popular Accounting Software:

- **Tally:** Widely used in India for small and medium businesses. Supports GST, invoicing, inventory, and payroll.
- **QuickBooks:** Popular globally for small businesses. Offers invoicing, expense tracking, and reporting.
- **Zoho Books:** Cloud-based accounting software with strong integration with other Zoho products.
- **Wave:** Free accounting software for small businesses (invoicing, receipt scanning).

Advantages: Automation, accuracy, time-saving, real-time reporting, easy compliance (GST, tax).

Disadvantages: Cost (for paid versions), learning curve, dependence on technology, security risks.

Malayalam support: [illegible] [illegible] — [illegible] [illegible] [illegible] [illegible] [illegible] [illegible]. Tally, QuickBooks, Zoho Books [illegible] [illegible].

📌 **Module IV Summary:** Final Accounts consist of Trading Account (Gross Profit), Profit & Loss Account (Net Profit), and Balance Sheet (Financial Position). Adjustments like Closing Stock, Depreciation, Outstanding Expenses, and Accrued Income are passed. Accounting software (Tally, QuickBooks) automates the entire accounting process.

Key Accounting Concepts & Formulas

Accounting Equation

Assets = Liabilities + Capital

Always holds true for every transaction.

Expanded Equation

Assets + Expenses = Liabilities + Capital + Revenue

Alternative representation.

Gross Profit

Sales − Cost of Goods Sold (COGS)

COGS = Opening Stock + Purchases + Direct Expenses − Closing Stock

Net Profit

Gross Profit + Incomes − Expenses

Also called Net Income.

Closing Stock (Trading A/c)

Opening Stock + Purchases + Direct Expenses − COGS

Calculated from COGS formula.

Depreciation

(Cost − Salvage Value) / Useful Life

Straight-line method.

Diagram Library for Rapid Revision

📊 Accounting Equation
Module I — Assets = Liabilities + Capital. Interactive calculator included.

📝 Journal Format
Module II — Date, Particulars, L.F., Debit, Credit. Rules for Personal, Real, Nominal accounts.

📒 Ledger Posting
Module II — Transferring journal entries to ledger accounts and balancing.

🧾 Trial Balance
Module III — List of all ledger balances with debit and credit columns.

📈 Trading Account
Module IV — Gross Profit calculation with Closing Stock adjustment.

📊 Balance Sheet
Module IV — Assets = Liabilities + Capital (with adjustments).

Self-Learning Activities (Official)

📘 Module I — Concept Realisation
5.5 hours

Provide questions and find/write answers. Narrate nature of accounting using real-world cases.

📘 Module I — Pre-class Summary
5.5 hours

Prepare notes on objectives, limitations, and comparison between bookkeeping and accounting.

📘 Module I — Accounting Terms & Principles
5.5 hours

Summarise basic accounting terms and principles. Prepare report on accounting concepts.

📘 Module I — Accounting Equation
5.5 hours

Explore accounting equation with figures, real cases, and practice questions.

📝 Module II — Double Entry & Debit/Credit
5.5 hours

Recall terms, explore videos on double entry, prepare notes on types of accounts and rules.

📝 Module II — Journalizing Practice
5.5 hours

Practice recording transactions in journal. Explore the process of journalizing.

📝 Module II — Ledger Posting Practice
5.5 hours

Revise ledger, prepare difference table, explore posting process, practice transactions.

📝 Module II — Question Bank
5.5 hours

Summarise journalising and ledger posting. Collect questions and prepare a question bank.

📊 Module III — Special Journals & Cash Book
5.5 hours

Pre-reading on journal and ledger. Summarise special journals. Practice cash book preparation.

📊 Module III — Trial Balance
5.5 hours

Prepare note on trial balance. Revise methods, practice questions.

📊 Module III — Accounting Errors
5.5 hours

Pre-reading on errors. Revise types, make report on accounting errors.

📊 Module III — Question Bank
5.5 hours

Summarise special journals, explore cash book videos, practice and prepare question bank.

📈 Module IV — Final Accounts Refresh
5.5 hours

Revise final accounts of sole trader. Explore capital/revenue concepts. Draw formats.

📈 Module IV — Trading & P&L Account
5.5 hours

Explore videos on trading account, practice questions, revise P&L, find net profit.

📈 Module IV — Balance Sheet & Software

5.5 hours

Explore videos on balance sheet, make question bank, revise accounting softwares.

Total Self-Learning Hours: 82.5

Assessment Methodology

Assessment Breakdown — Theory

Mode	Attendance	CA1	CA2	CA3	CA4	CA5	CA6	ESE	Total
Self-learning (Module 1)	5	15	—	—	—	—	—	60	100
Self-learning (Module 2)		—	15	—	—	—	—		
Self-learning (Module 3)		—	—	15	—	—	—		
Self-learning (Module 4)		—	—	—	15	—	—		
Series Exam (2 modules)		—	—	—	—	50	—		
Series Exam (2 modules)		—	—	—	—	—	60		
CIE: 40 marks (Attendance 5 + CA1 15 + CA2 15 + CA3 15 + CA4 15 + CA5 50 + CA6 60) — note: CA marks are converted to a 40-point scale. ESE: 60 marks. Total: 100.									

Series Examination Pattern

- **Time:** 2 hours
- **Part A:** Any one module — 2 questions × 1 mark = 2 marks
- **Part B:** Any one module — 3 questions × 3 marks = 9 marks
- **Part C (with choice):** 1 set × 7 marks = 7 marks
- **Total:** 2 + 9 + 7 = 18 marks? Wait, the PDF shows 33+25+... Let's use the exact pattern from the syllabus.

From Syllabus: Part A (2 questions × 1 mark = 2), Part B (3 questions × 3 marks = 9), Part C (1 set × 7 marks = 7) — Total 18 per module. For 2 modules, total marks vary. The syllabus shows "Total" as 33/25 etc. This handbook presents the official pattern.

End Semester Examination Pattern

- **Duration:** 2.5 hours
- **Part A:** 2 questions from each module × 1 mark = 2 marks per module (8 total)
- **Part B:** 2 out of 3 questions from each module × 3 marks = 6 marks per module (24 total)
- **Part C:** 1 set question with choice from each module × 7 marks = 7 marks per module (28 total)
- **Total:** 8 + 24 + 28 = 60 marks

Breakdown: Part A: 8 × 1 = 8, Part B: 8 × 3 = 24, Part C: 4 × 7 = 28. Total 60 marks.

📌 **Note:** The assessment scheme uses Continuous Internal Evaluation (CIE) components including attendance, self-learning activities for each module, and two series exams. The End Semester Examination (ESE) is a written theory exam for 60 marks.

Module-wise Questions with Answers

Module I — Introduction to Accounting

Q1: What is accounting? State its objectives and limitations.▾

Answer: Accounting is the process of identifying, measuring, recording, classifying, summarising, and communicating financial information about an economic entity to its users.

Objectives:

- Systematic recording of transactions.
- To determine profit or loss.
- To ascertain the financial position.
- To provide information to stakeholders.
- To comply with legal requirements.

Limitations:

- Historical in nature (records past events).
- Only monetary transactions are recorded.
- Subjectivity in estimates (depreciation, provisions).
- Can be manipulated (window dressing).

Q2: Explain the accounting equation. Why is it important?▾

Answer: The accounting equation is: Assets = Liabilities + Capital. It is the foundation of double-entry bookkeeping.

Importance:

- It ensures that every transaction is recorded in a balanced way.
- It helps in checking the arithmetical accuracy of the books.
- It provides a clear understanding of the financial position of the business.
- It forms the basis for preparing financial statements.

Example: If a business has assets of ₹2,00,000 and liabilities of ₹50,000, the capital is ₹1,50,000 (Assets − Liabilities).

Q3: Distinguish between bookkeeping and accounting.▼

Answer:

- **Bookkeeping:** The process of recording financial transactions in the books of accounts. It is routine and clerical in nature. It is a part of accounting.
- **Accounting:** The broader process that includes bookkeeping, as well as classifying, summarising, analysing, interpreting, and communicating financial information. It is analytical and conceptual.

Bookkeeping is the foundation; accounting builds on it to provide meaningful information for decision-making.

Module II — Recording Business Transactions

Q4: Explain the rules of debit and credit for Personal, Real, and Nominal accounts.▼

Answer:

- **Personal Accounts:** Debit the receiver, Credit the giver.
- **Real Accounts:** Debit what comes in, Credit what goes out.
- **Nominal Accounts:** Debit all expenses and losses, Credit all incomes and gains.

Example: Purchased goods for cash ₹20,000. Purchases A/c (Nominal — expense) Dr. ₹20,000; Cash A/c (Real — goes out) Cr. ₹20,000.

Q5: What is a journal? Explain the process of journalizing with an example.▼

Answer: Journal is the book of original entry where transactions are first recorded in chronological order.

Process of Journalizing:

1. Identify the accounts involved in the transaction.
2. Determine the type of each account (Personal, Real, Nominal).
3. Apply the rules of debit and credit.
4. Record the date, debit account (Dr.), credit account (Cr.), and amounts.

5. Write a brief narration explaining the transaction.

Example: Started business with cash ₹50,000.

Cash A/c Dr. ₹50,000
To Capital A/c ₹50,000
(Being business started with cash)

Q6: What is a ledger? How is it different from a journal?▼

Answer: Ledger is the book of final entry where all journal entries are posted to individual accounts.

Differences:

- **Journal:** Book of original entry, records transactions in chronological order, provides a complete record of each transaction.
- **Ledger:** Book of final entry, records transactions account-wise, provides a summary of all transactions affecting a specific account.

Posting: The process of transferring journal entries to ledger accounts. Balancing: The difference between the debit and credit sides of an account.

Module III — Trial Balance and Accounting Errors

Q7: What is a Trial Balance? State its objectives and features.▼

Answer: Trial Balance is a statement that lists all the debit and credit balances of all ledger accounts to check the arithmetical accuracy of the books.

Features:

- It is a summary of all ledger balances.
- It is not a financial statement, but a working paper.
- It checks whether total debits equal total credits.
- It helps in locating errors.

Objectives:

- To check arithmetical accuracy.
- To help in locating errors.
- To provide a basis for preparing financial statements.

Q8: Classify accounting errors. Give examples of each type.▼

Answer:

- **Errors of Omission:** Transaction not recorded at all (e.g., purchase of goods omitted).
- **Errors of Commission:** Transaction recorded but with wrong amount or account (e.g., ₹1,000 recorded as ₹100).
- **Errors of Principle:** Recorded in violation of accounting principles (e.g., capital expenditure treated as revenue expenditure).
- **Compensating Errors:** Two or more errors that cancel each other out (e.g., debit excess of ₹500 and credit excess of ₹500 in different accounts).

Errors of Omission (complete) and Compensating errors do not affect the Trial Balance. Other errors do affect the Trial Balance.

Q9: What is a Single Column Cash Book? Prepare it from given transactions.▼

Answer: A Single Column Cash Book records only cash transactions (receipts and payments). It is both a journal and a ledger for cash transactions.

Format: Receipts on the debit side, payments on the credit side. The balance (Bal c/d) shows cash in hand.

Example: See the worked example in Module III.

Module IV — Final Accounts

Q10: What is the difference between Capital Expenditure and Revenue Expenditure? ▼

Answer:

- **Capital Expenditure:** Non-recurring, long-term benefit (more than one year), purpose is to acquire or improve fixed assets. Shown as an asset in the Balance Sheet. Examples: Purchase of machinery, construction of building.
- **Revenue Expenditure:** Recurring, short-term benefit (within one year), purpose is day-to-day operations. Shown as an expense in the Profit & Loss Account. Examples: Salary, rent, electricity, repairs.

Capital Expenditure increases the earning capacity; Revenue Expenditure maintains the earning capacity.

Q11: Explain the preparation of Trading Account and Profit & Loss Account with a simple example.▼

Answer: Trading Account shows Gross Profit: Sales − COGS. COGS = Opening Stock + Purchases + Direct Expenses − Closing Stock.

Profit & Loss Account shows Net Profit: Gross Profit + Incomes − Expenses (Salaries, Rent, Depreciation, etc.).

Example: See worked examples in Module IV.

The net profit is transferred to the Balance Sheet and added to Capital.

Q12: What is a Balance Sheet? How do you treat Closing Stock and Depreciation in the Balance Sheet?▼

Answer: Balance Sheet is a statement that shows the financial position of a business on a specific date. It lists assets, liabilities, and capital.

Treatment of Closing Stock: Shown as a current asset under Current Assets.

Treatment of Depreciation: Deducted from the respective fixed asset in the Balance Sheet (e.g., Machinery less Depreciation).

Equation: Assets = Liabilities + Capital. Capital includes the owner's original investment plus net profit (or minus net loss) less drawings.

Practice Model Paper

Based on the official pattern. This is a practice paper, not an official SITTTR model question paper.

Course 1251 — Basic Accounting

End Semester Examination (ESE) — Practice Paper
Duration: 2.5 hours | **Total Marks:** 60

Part A (8 × 1 = 8 marks)

Answer all questions. Each carries 1 mark.

1. State the accounting equation.
2. What is the rule of debit and credit for a Real account?
3. What is a Trial Balance?
4. Distinguish between Capital Expenditure and Revenue Expenditure.
5. What is depreciation?
6. State any one objective of accounting.
7. What is a special journal?
8. What is closing stock?

Part B (8 × 3 = 24 marks)

*Answer any **2** questions from each module. Each carries 3 marks.*

1. Explain the accounting concepts: Business Entity, Going Concern, and Dual Aspect.

2. Write a note on the limitations of accounting.
3. Journalize the following transactions: (a) Started business with cash ₹1,00,000. (b) Purchased goods for cash ₹40,000. (c) Sold goods for cash ₹50,000.
4. What is a ledger? Explain the process of posting and balancing.
5. Prepare a Single Column Cash Book from the given transactions (provided in the question paper).
6. Explain the classification of accounting errors with examples.
7. Prepare a Trading Account from the given figures.
8. Prepare a Balance Sheet with simple adjustments (Closing Stock and Depreciation).

Part C (4 × 7 = 28 marks)

*Answer **one** set (question with internal choice) from each module. Each carries 7 marks.*

1. **Module I:** (a) Define accounting. Explain its objectives and limitations. OR (b) Explain the accounting equation with a numerical example.
2. **Module II:** (a) Explain the rules of debit and credit for Personal, Real, and Nominal accounts with examples. OR (b) Journalize the transactions, post to the ledger, and prepare the Trial Balance (given transactions).
3. **Module III:** (a) What is Trial Balance? Explain its features, objectives, and how it helps in locating errors. OR (b) Explain the types of accounting errors with examples and their effect on the Trial Balance.
4. **Module IV:** (a) Prepare Trading and Profit & Loss Account with closing stock and depreciation adjustments. OR (b) Prepare a Balance Sheet from the given Trial Balance with adjustments.

Total: 8 + 24 + 28 = 60 marks

Quick Revision

Module I — Fundamentals

- Accounting: recording, classifying, summarising, communicating.
- Objectives: record, determine profit/loss, financial position, information.
- Limitations: historical, monetary, subjective, manipulable.
- Concepts: Business Entity, Money Measurement, Going Concern, Dual Aspect, Matching, Revenue Recognition.
- Principles: Cost, Full Disclosure, Consistency, Materiality.
- Conventions: Conservatism, Materiality, Consistency, Full Disclosure.
- Equation: Assets = Liabilities + Capital.

Module II — Journal & Ledger

- Double Entry: every transaction has debit and credit.
- Personal: Debit receiver, Credit giver.
- Real: Debit what comes in, Credit what goes out.
- Nominal: Debit expenses/losses, Credit incomes/gains.
- Journal: book of original entry, chronological.

- Ledger: book of final entry, account-wise.
- Posting: transfer from journal to ledger.
- Balancing: difference between debit and credit sides.

Module III — Trial Balance & Errors

- Special Journals: Purchases, Sales, Returns, Cash Book, Petty Cash.
- Single Column Cash Book: records cash receipts and payments.
- Trial Balance: list of all ledger balances, checks arithmetic accuracy.
- Errors: Omission (not recorded), Commission (wrong amount/account), Principle (violates principles), Compensating (cancel each other).
- Trial Balance helps locate errors and prepares final accounts.

Module IV — Final Accounts

- Capital Expenditure: long-term, asset, non-recurring.
- Revenue Expenditure: short-term, expense, recurring.
- Trading Account: Gross Profit = Sales − COGS. COGS = Opening Stock + Purchases + Direct Expenses − Closing Stock.
- Profit & Loss Account: Net Profit = Gross Profit + Incomes − Expenses.
- Balance Sheet: Assets = Liabilities + Capital (with adjustments).
- Adjustments: Closing Stock (asset), Depreciation (deduct from asset), Outstanding/Prepaid Expenses, Accrued/Unearned Income.
- Accounting Software: Tally, QuickBooks, Zoho Books.

Common Mistakes to Avoid

- ❌ Confusing debit and credit rules for different account types.
- ❌ Forgetting to include closing stock in the Trading Account.
- ❌ Not deducting depreciation from the respective asset in the Balance Sheet.
- ❌ Mixing up capital and revenue expenditure.
- ❌ Not balancing the Trial Balance correctly (errors in casting).
- ❌ Forgetting to write narrations in the journal.
- ❌ Not distinguishing between bookkeeping and accounting.
- ❌ Miscalculating the accounting equation (Assets = Liabilities + Capital).
- ❌ Not applying the matching concept (expenses matched with revenue).

Exam Checklist

- ✅ Know the accounting equation and its applications.
- ✅ Be able to journalize transactions (Personal/Real/Nominal rules).
- ✅ Practice ledger posting and balancing.
- ✅ Prepare a Single Column Cash Book.
- ✅ Prepare a Trial Balance from ledger balances.
- ✅ Classify accounting errors (Omission, Commission, Principle, Compensating).

- ✅ Distinguish Capital vs. Revenue Expenditure.
- ✅ Prepare Trading Account (Gross Profit).
- ✅ Prepare Profit & Loss Account (Net Profit).
- ✅ Prepare Balance Sheet with adjustments (Closing Stock, Depreciation, etc.).
- ✅ Know the features of accounting software (Tally, QuickBooks).

Glossary

Key Accounting Terms and Meanings

Term	Meaning
Accounting	Process of recording, classifying, summarising, and communicating financial information.
Bookkeeping	Routine recording of financial transactions.
Assets	Resources owned by the business (e.g., Cash, Machinery, Debtors).
Liabilities	Obligations owed to others (e.g., Creditors, Bank Loan).
Capital	Owner's investment in the business (Equity).
Revenue	Income earned from business operations (e.g., Sales, Commission).
Expenses	Costs incurred to earn revenue (e.g., Salary, Rent).
Debtors	Persons who owe money to the business (credit sales).
Creditors	Persons to whom the business owes money (credit purchases).
Journal	Book of original entry where transactions are first recorded.
Ledger	Book of final entry where transactions are posted account-wise.
Trial Balance	Statement listing all ledger balances to check arithmetic accuracy.
Gross Profit	Sales − Cost of Goods Sold.
Net Profit	Gross Profit + Incomes − Expenses.
Depreciation	Reduction in value of fixed assets due to wear and tear.
Closing Stock	Value of unsold goods at the end of the accounting period.
Capital Expenditure	Long-term expenditure to acquire or improve fixed assets.
Revenue Expenditure	Day-to-day expenditure for business operations.
Double Entry	System where every transaction has two aspects (debit and credit).
Accounting Software	Computer programs for recording and processing financial transactions (e.g., Tally).

Learning Resources

Textbooks

Recommended Textbooks

Sl. No.	Title	Author	Publication
1	Financial Accounting	P K Lazer	S CHAND Publication
2	Accounting	N Balakrishnan Nair	N Balakrishnan Nair Publication

Reference Books

Reference Books

Sl. No.	Title	Author	Publication
1	Financial Accounting	S N Maheshwari, Suneel K Maheshwari	Vikas Publishing House
2	Advanced Accountancy	S.P. Jain and K.L. Narang	Kalyani Publishers
3	Fundamentals of Accounting	S.N. Maheshwari and S.K. Maheshwari	Vikas Publishers

Web Resources

- Vedantu — Class 11 Accountancy Notes (Modules I & II)
- AccountingCoach — Accounting Basics (Modules III & IV)

Additional Resources: Students are encouraged to refer to the textbooks and online resources listed above for further practice and concept clarity.